

Economy

Consumer Checkpoint: Strength in numbers

09 October 2026

Key takeaways

- Consumer spending remained very solid in September. Bank of America aggregated credit and debit card spending per household rose 6.2% year-over-year (YoY), or 5.1% excluding gasoline, both the third strongest growth rates over the past four years. Month-over-month (MoM) spending was more muted, especially without gas.
- Spending shows considerable breadth: the vast majority of discretionary retail and services categories are showing growth. Moreover, this strength extends across income cohorts, with the ongoing recovery of lower- and middle-income households' spending growth.
- With the winter months fast approaching, holiday spending is already increasing at a solid rate, though it's still early. In Bank of America deposit data through September, buy now, pay later (BNPL) usage is rising but not at a rate that is overly concerning. However, nearly one in every five households that use BNPL has a repayment of over \$500.

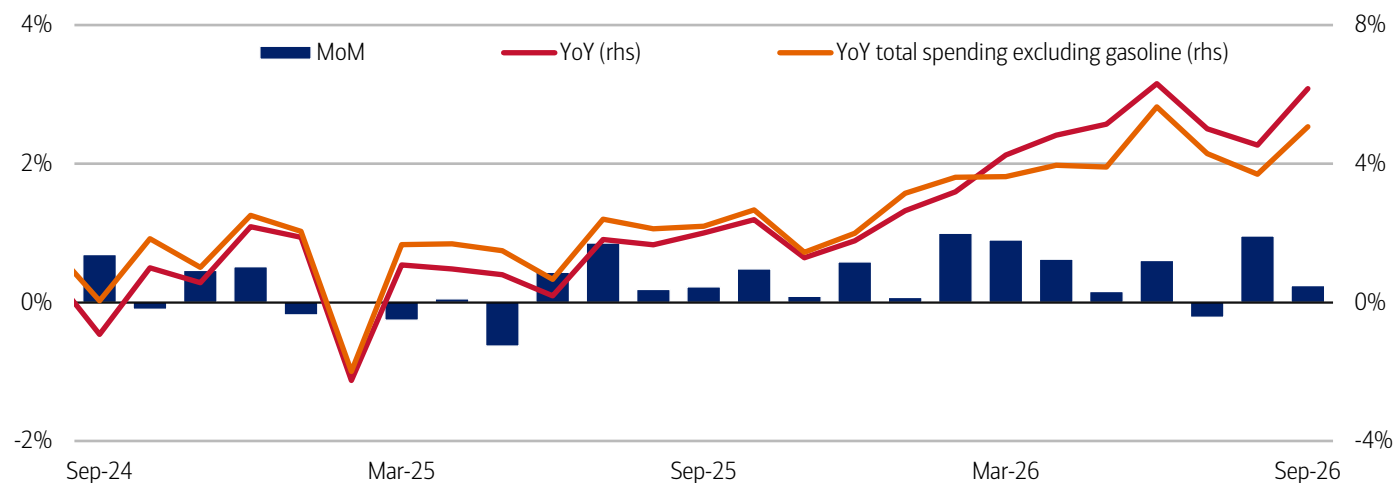
[Consumer Checkpoint](#) is a regular publication from Bank of America Institute. It aims to provide a holistic and real-time estimate of US consumers' spending and their financial well-being, leveraging the depth and breadth of Bank of America proprietary data. Such data is not intended to be reflective or indicative of, and should not be relied upon as, the results of operations, financial conditions or performance of Bank of America.

A solid September for spending

Consumer spending continued to look solid in September. Bank of America total aggregated credit and debit card spending per household rose 6.2% year-over-year (YoY), while spending excluding gasoline increased 5.1% YoY. Notably, both are the third strongest growth rates in the past four years. Seasonally-adjusted total card spending rose 0.2% month-over-month (MoM), while spending excluding gasoline was little changed. Overall, spending growth remains well above the 2025 average rate (Exhibit 1).

Exhibit 1: Total card spending per household rose 6.2% YoY and 5.1% YoY excluding gasoline in September

Total card spending growth per household, based on Bank of America aggregated credit and debit card data (monthly, MoM%, seasonally adjusted (SA)) and (monthly, YoY%, non-SA, right-hand side (rhs))



Source: Bank of America internal data

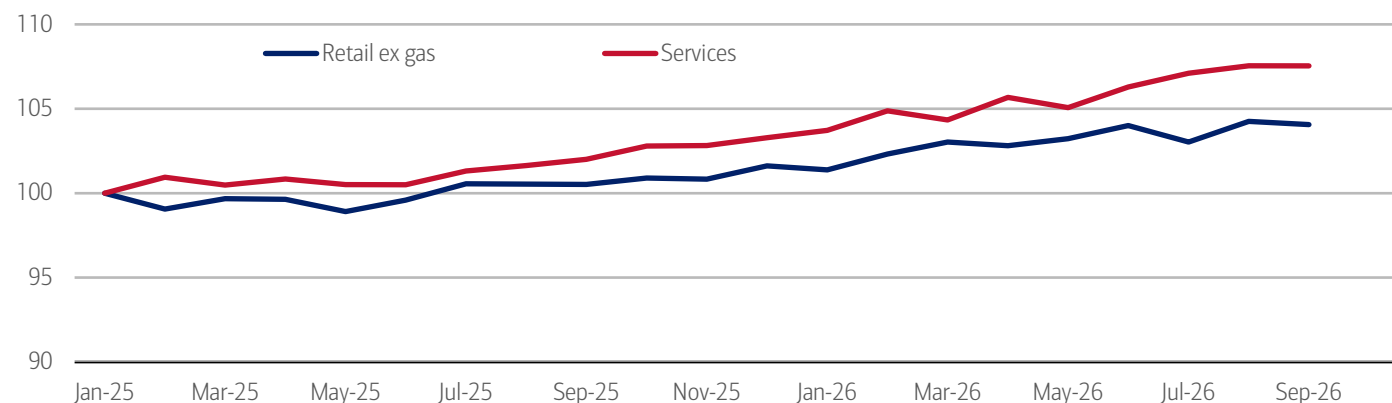
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Most spending categories are growing

One striking thing about recent card spending, in our view, is that it is well balanced across categories. For example, both spending on retail (excluding gasoline) and services grew strongly YoY in September, at 3.5% and 5.4%, respectively. Meanwhile, retail spending is showing notably better momentum than in 2025 (Exhibit 2).

Exhibit 2: Spending is rising across retail and services

Retail (excluding gasoline) and services card spending per household (monthly, seasonally adjusted, index January 2025 = 100)



Source: Bank of America internal data

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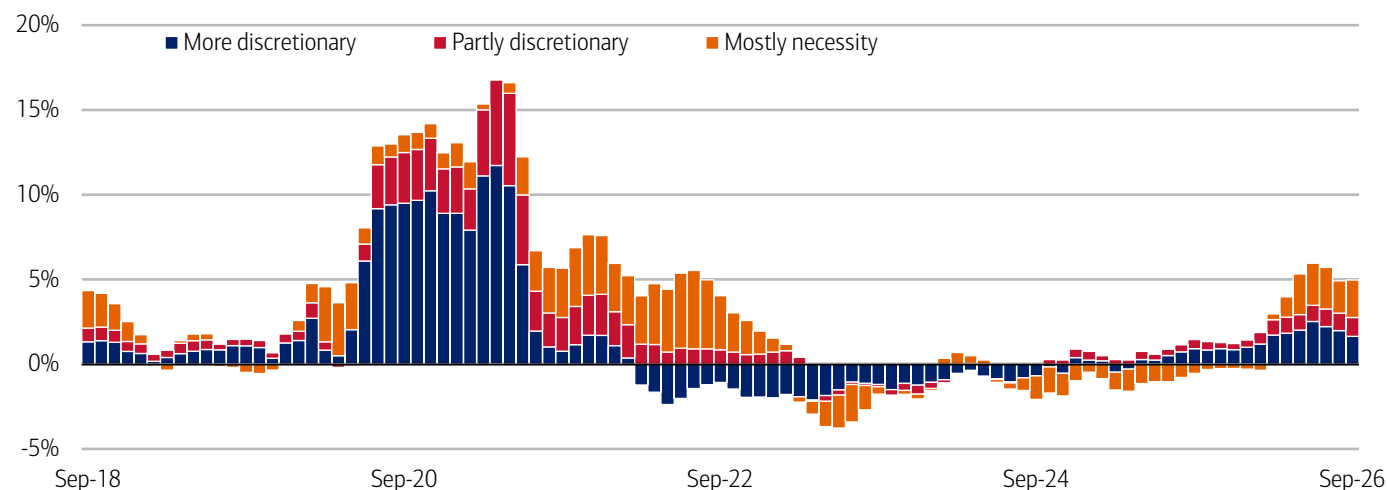
Well balanced across “nice-to-have” and “need-to-have” retail categories

Is the momentum in retail spending reflective of “nice-to-have” discretionary or “need-to-have” necessity spending? In retail, this is a nuanced question, as many categories sit in a gray area between “necessity” and “discretionary”. General merchandise stores, for example, sell both essentials like groceries as well as nice-to-have electronics or even jewelry.

In Exhibit 3, we account for this by grouping retail spending into “more discretionary” (furniture, electronics, building materials, online retailers, clothing retailers and miscellaneous stores), “partly discretionary” (auto, health and personal care retailers, general merchandise) and “mostly necessity” (gas and groceries). Even within these categories the edges will be blurred, but the overall impression is that retail spending growth is widely distributed, with spending rising across all fronts. One caveat: “mostly discretionary” spending has been making a smaller contribution since June.

Exhibit 3: Retail spending is distributed across discretionary and necessity categories

Percentage points contribution to YoY growth by type of retail spending (three-month moving average)



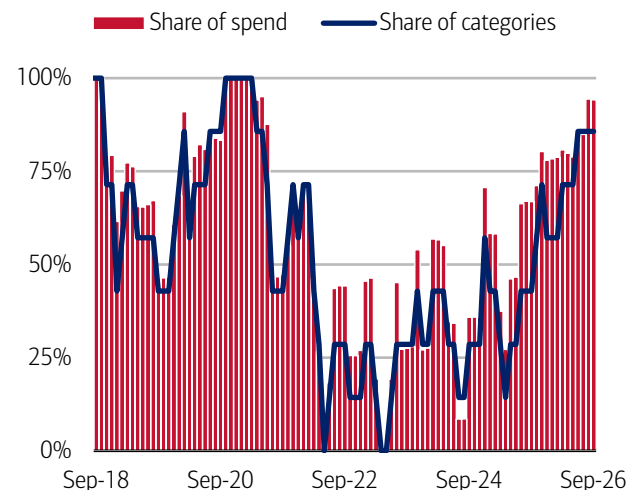
Source: Bank of America internal data. See methodology for category aggregation definitions.

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Looking at the share of “more discretionary” retail spending categories that are increasing YoY underscores that growth is well balanced and broad-based (Exhibit 4). Non-store and online retailers and miscellaneous stores saw some of the fastest growth, while furniture and building materials were among the laggards, though other durable categories showed some strength.

While some of this spending growth likely reflects the impact of higher prices pushing up spending across a swathe of categories, looking just at transactions as a proxy for volumes shows a similar picture, with only slightly less diffusion (Exhibit 5).

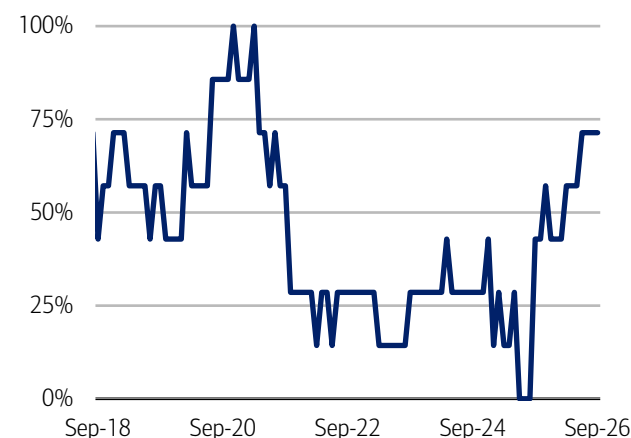
Exhibit 4: Nearly 86% of categories are experiencing positive spending growth, accounting for over 94% of retail spending
Diffusion index across “more discretionary” retail categories by spending (monthly, %)



Source: Bank of America internal data

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Exhibit 5: 71% of retail categories have positive transaction growth, with durables responsible for the declines
Diffusion index across “more discretionary” retail categories by transactions (monthly, %)



Source: Bank of America internal data

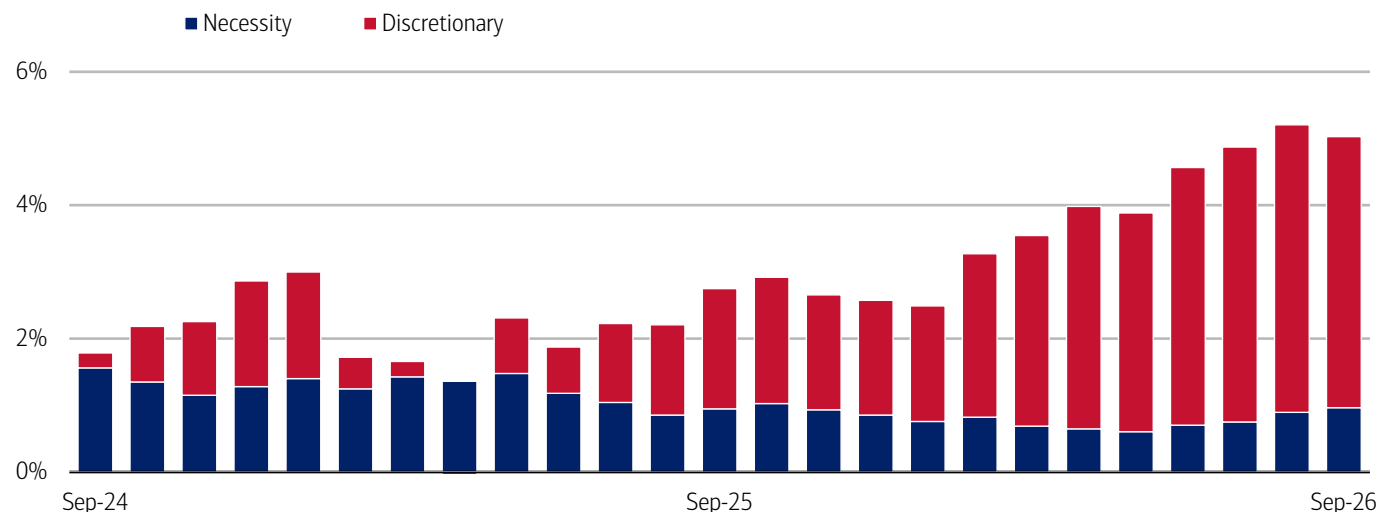
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For services, growth is driven mostly by discretionary spending

In services spending, on the other hand, the boundaries between discretionary and necessity spending are often clearer. Travel spending (e.g., airlines, lodging) can be thought of as, by and large, discretionary. At the same time, utility bills, rent and insurance payments are necessities.

And in services, discretionary spending remains the clear driver, accounting for over three-quarters of YoY spending growth in September (Exhibit 6). Leisure and housing services are major components of growth, though travel and restaurants also made positive contributions. However, as we noted last month strength in airline spending largely reflects price rises rather than transactions growth (read more in [Consumer Checkpoint: Still sizzling](#)).

Exhibit 6: Services spending growth has been mostly driven by discretionary spending over the past year
Percentage points contribution to growth by type of services spending (three-month moving average)



Source: Bank of America internal data

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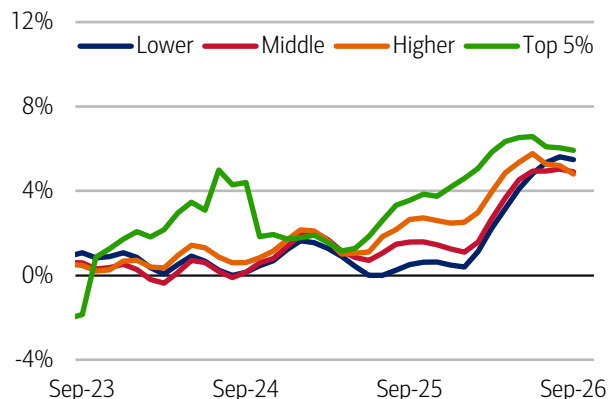
Lower-income households' spending outpaced all but the top 5%

The breadth in spending growth across categories is also evident across income cohorts. In September, lower-income households' total card spending growth was 5.5% YoY, while the equivalent figures for middle- and higher-income households were 4.9% and 4.8% YoY, respectively. The top 5% of households by income continue to show the fastest spending growth, 5.9% in September, though this has eased somewhat (Exhibit 7).

Overall, the divergences across income cohorts are much smaller than they were in 2025 and the first three months of this year. Just focusing on spending excluding key necessities (gasoline, food and utilities) doesn't meaningfully change the picture of convergence across income cohorts (Exhibit 8).

Exhibit 7: The top 5% saw the strongest spending growth of any income cohort...

Total card spending per household by income tercile and the top 5% (three-month moving average, YoY%, SA)

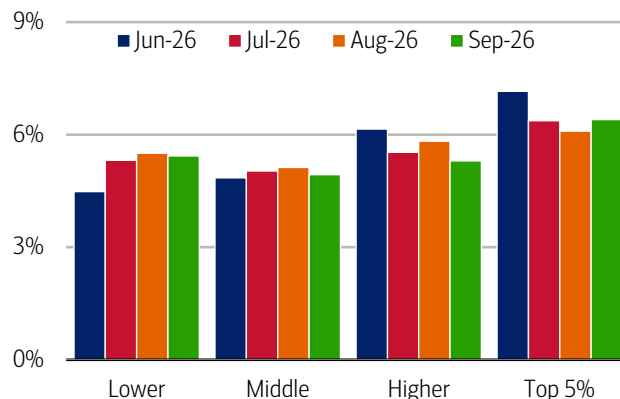


Source: Bank of America internal data

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Exhibit 8: ...though discretionary spending for the top 5% has eased some since June

Discretionary card spending per household by income tercile and the top 5% (three-month moving average, YoY%, SA)



Source: Bank of America internal data

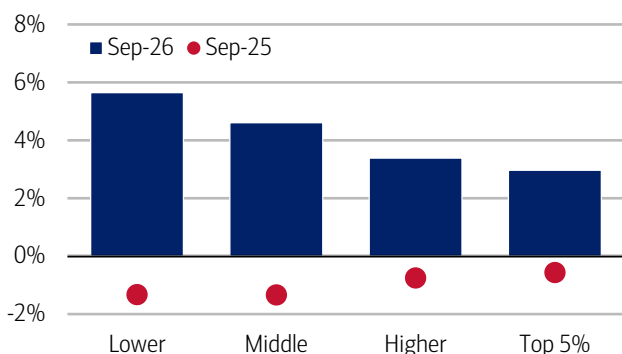
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The strength in lower- and middle-income households' discretionary spending is occurring despite necessity spending shifting from a tailwind to a headwind over the past year amid rising gas prices (Exhibit 9). In our view, a key component of why these households have been able to combine rising necessity spending with strength in discretionary is the labor market and a recovery in their after-tax wage growth (Exhibit 10).

In September, lower-income wage growth eased to 4.5% YoY from 4.7% YoY in August, while growth for middle- and higher-income households rose to 3.8% and 3.7% YoY, respectively. These changes were modest, and lower-income households are continuing to see faster after-tax wage growth than other cohorts, a notable turnaround from the "K-shaped" pattern we observed over much of 2025 and 2026.

Exhibit 9: Necessity spending has gone from a tailwind to a headwind across all income cohorts

Necessity card spending per household by income tercile and the top 5% (three-month moving average, YoY%, SA)

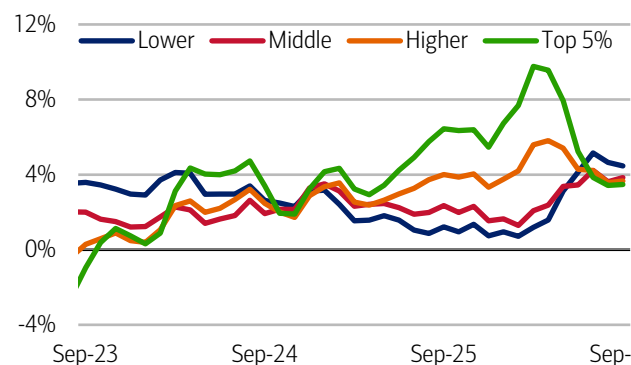


Source: Bank of America internal data

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Exhibit 10: Lower-income wage growth remains strongest, despite a narrowing gap

After-tax wage and salary growth by household income tercile (three-month moving average, YoY%, SA)



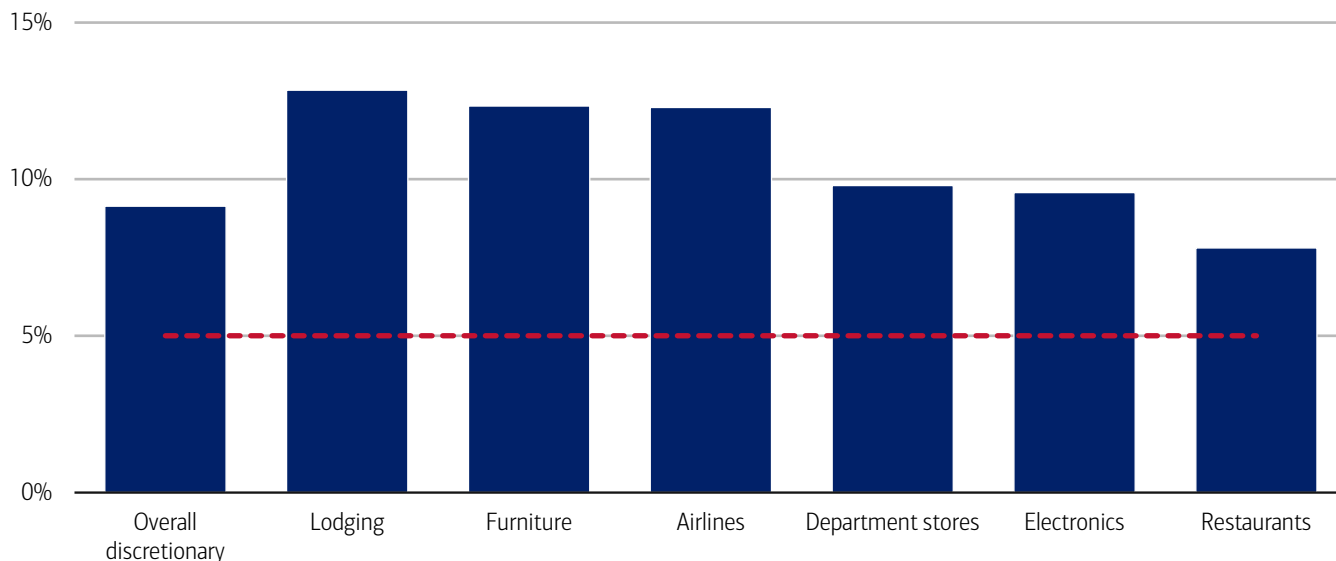
Source: Bank of America internal data

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Should we be concerned about the easing in household spending and after-tax wage growth for those with the top 5% of incomes? For now, probably not, as in our view this spending growth is likely being driven by wealth effects rather than wage gains. Absent a sharp correction in equity markets, there is little reason to expect them to retrench their spending. However, developments here are worth watching as this cohort comprises a significant proportion of overall consumer spending. They also tend to make outsized contributions to several discretionary spending categories (Exhibit 11).

Exhibit 11: The top 5% of households by income make up a disproportionate amount of spending in highly discretionary categories

Share of spending by the top 5% of households by income across select discretionary categories (three-month moving average to September 2026, %)



Source: Bank of America internal data

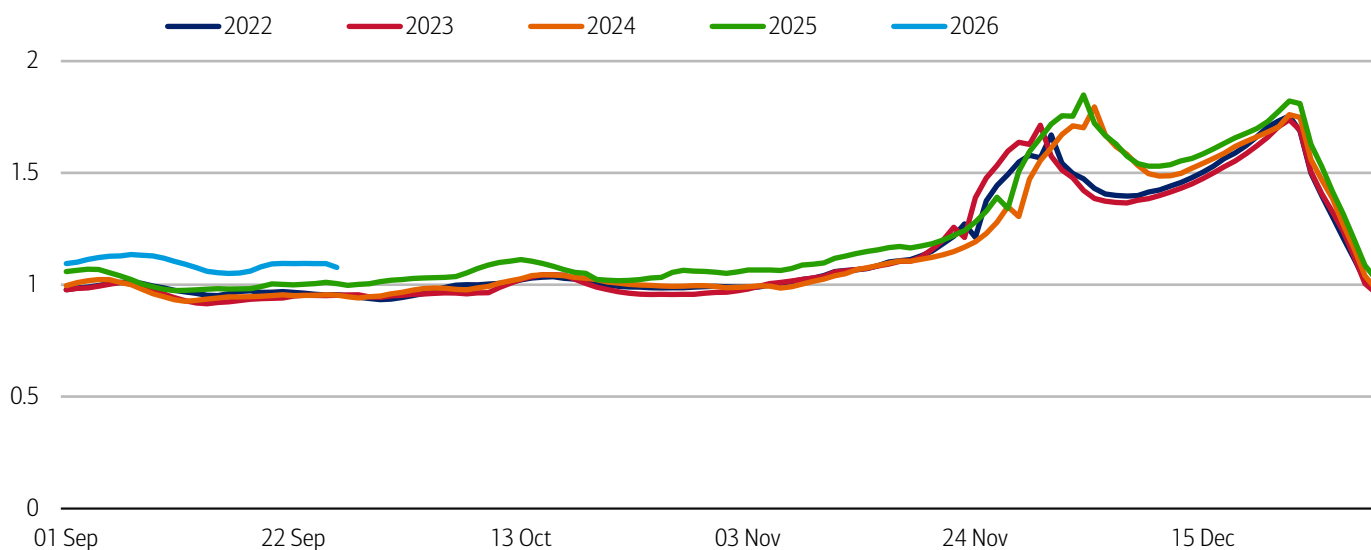
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With summer gone, thoughts turn to the holidays and BNPL...

Now that summer is over, the next big gauge of consumer momentum is how people spend during the run-up to, and over, the holiday season. It is early days, but September spending on holiday items ran well ahead of 2025 (Exhibit 12). Given the backdrop of firmer after-tax wage growth and breadth across retail and services categories, this is perhaps not surprising. However, some of this spending strength could be due to rising prices as opposed to more purchases.

Exhibit 12: It's early days, but holiday spending is strong so far this year

Card spending per household for holiday items by year (seven-day moving average, index September 2025 average = 1)



Source: Bank of America internal data

Note: Holiday items include all merchant category codes for which spending in November through December is at least 20% of total annual spending in the category.

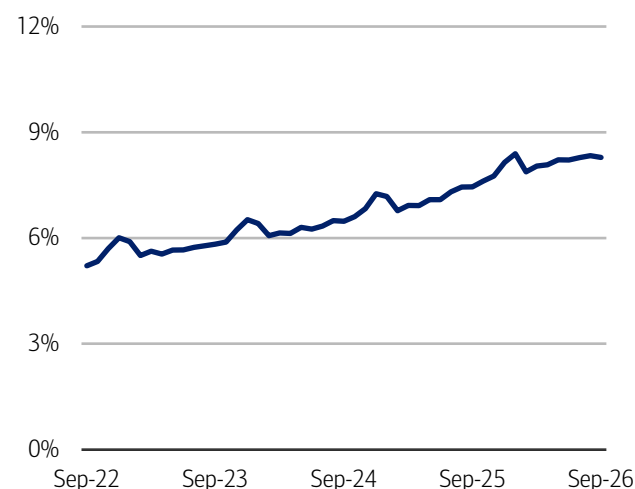
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A concern often raised as we move into the holidays is whether consumers will lean on less traditional forms of credit such as buy now, pay later (BNPL) to finance their spending. Frequent BNPL users tend to have higher credit card utilization rates (read more in: [Do consumers have wiggle room to absorb higher gas prices?](#)).

Looking at the share of households in Bank of America deposit data with a BNPL payment, we do tend to see a seasonal rise over the holidays (Exhibit 13), though in past years, these increases have quickly reversed. Further, while the underlying trend in BNPL usage is upwards, there are no signs of a sharp acceleration. We do, however, see some evidence that BNPL is being used to finance more expensive purchases, with the share of households making repayments above \$500 rising, albeit relatively slowly (Exhibit 14).

Exhibit 13: 8.3% of Bank of America households had a BNPL payment in September

Share of households with a BNPL payment in the month (monthly, %)

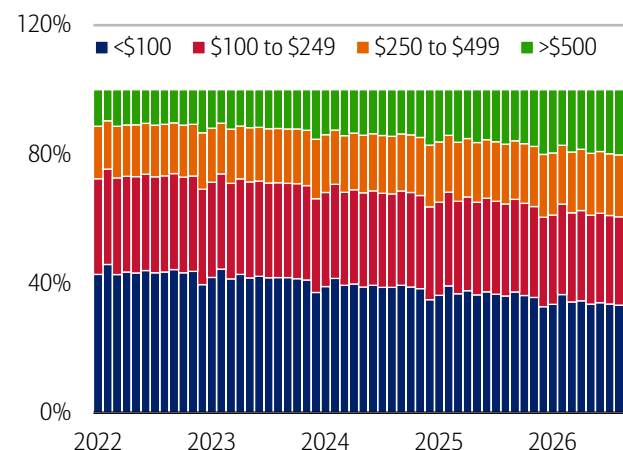


Source: Bank of America internal data

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Exhibit 14: Almost one in five households with BNPL usage has a repayment of over \$500

Share of households with BNPL payments by repayment amount (monthly, \$ amounts)



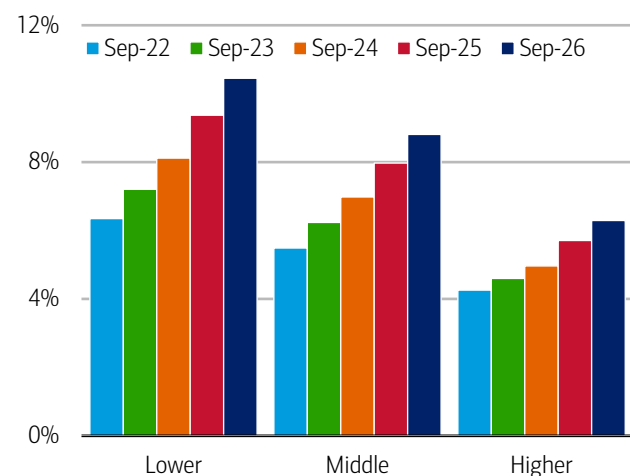
Source: Bank of America internal data

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The tendency towards greater usage is occurring across income cohorts, though is somewhat more pronounced for lower-income households (Exhibit 15). However, higher-income households have the largest share of BNPL payments above \$500 (Exhibit 16). Overall, in our view, the increase in the share of BNPL users heading into the season does not appear too concerning, though the rate of usage for some BNPL consumers does bear watching.

Exhibit 15: Lower-income households have seen larger adoption of BNPL...

Share of households with a BNPL payment in the month by household income tercile (monthly, %)

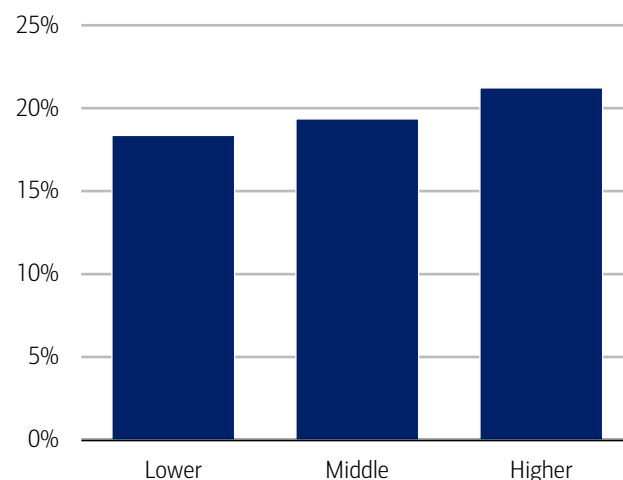


Source: Bank of America internal data

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Exhibit 16: ...but a larger share of higher-income households have BNPL payments over \$500

Share of BNPL payments by spending amount across household income terciles (September 2026, %)



Source: Bank of America internal data

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under \$5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.
2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.
3. Overall total card spending includes small business card spending while per household card spending does not.
4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).
5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

Store category aggregation for “more discretionary”, “partly discretionary”, and “mostly necessity” is defined as follows:

More discretionary: furniture, electronics, building materials, hobbies, miscellaneous stores, nonstore retail, clothing.

Partly discretionary: auto, health and personal care, general merchandise.

Mostly necessity: Gasoline, food and beverage.

We consider a measure of services necessity spending that includes but is not limited to groceries, utilities, and gasoline. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics and furniture. It excludes categories like groceries and gasoline. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category. Value and premium grocers are determined judgmentally on a proprietary analysis of merchants by equity analysts. The “more discretionary” retail category includes furniture, electronics, building materials, online marketplaces, clothing retailers and miscellaneous stores; while “partly discretionary” retail contains auto parts and services, health and personal care retailers, general merchandise and “mostly necessity” retail contains gas and groceries.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows: Gen Z, born after 1995; Younger Millennials: born between 1989-1995; Older Millennials: born between 1978-1988; Gen Xers: born between 1965-1977; Baby Boomer: 1946-1964; Traditionalists: pre-1946.

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

Contributors

David Michael Tinsley

Senior Economist, Bank of America Institute

Joe Wadford

Economist, Bank of America Institute

Liz Everett Krisberg

Head of Bank of America Institute

Taylor Bowley

Economist, Bank of America Institute

Vanessa Cook

Content Strategist, Bank of America Institute

Lynelle Huskey

Analyst, Bank of America Institute

Sources

Li Wei

Director, Global Risk Analytics

Yan Peng

Vice President, Global Risk Analytics

Akshita Jain

Assistant Vice President, Global Risk Analytics

Stephen Stancil

Consumer and Small Business Product Analytics

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